Sector Underwriting Note: Food Processing

POLICY SECTION 7.14: SECTOR UNDERWRITING DIRECTIVE — FOOD PROCESSING SMEs

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Approved By: Credit Risk Executive Committee (CREC)
Policy Owner: Chief Credit Officer (Devendra Vance)

7.14.1 Scope & Sector Definition This directive applies to all credit facilities extended to Small and Medium Enterprise (SME) borrowers operating within the Food Processing sector (NAICS 311 / ISIC C10). Sub-sectors covered include packaged goods, dairy processing, fruit and vegetable preservation, grain milling, and meat/seafood processing.

7.14.2 Sector Portfolio Concentration Limits 1. Aggregate Book Cap: The total exposure to the Food Processing SME sector shall not exceed 8.5% of Ashva Capital’s total gross loan book at any calendar month-end. 2. Single Borrower Limit: Maximum aggregate exposure to a single obligor group within this sector is capped at USD 2,500,000. 3. Sub-Sector Concentration: Exposure to perishable seafood processing is individually capped at 1.5% of the total gross loan book.

7.14.3 Working Capital Cycle Norms 1. Standard Baseline Cycle: Underwriters must model working capital facilities against a baseline Net Working Capital Cycle (NWCC) of 105 days, structured as follows: * Raw Material Inventory Holding Period: 45 days. * Work-in-Progress (WIP) & Finished Goods Holding: 20 days. * Receivables Collection Period (DSO): 55 days. * *Less* Payables Outstanding (DPO): 15 days. 2. Cycle Variance Threshold: Any applicant demonstrating an NWCC exceeding 120 days must be flagged as High Risk. Facilities sized against an NWCC exceeding 120 days require formal approval by the Chief Credit Officer.

7.14.4 Financial Covenants & Sector DSCR Floor 1. Debt Service Coverage Ratio (DSCR): The minimum historical and projected DSCR for Food Processing SMEs is 1.35x (elevated from the standard corporate baseline of 1.25x to absorb raw material input price volatility). 2. Minimum Gross Profit Margin Floor: The borrower must demonstrate a minimum historical 3-year average Gross Profit Margin of 18.0%. 3. Current Ratio: Minimum required Current Ratio is 1.30x. 4. Perishable Spoilage Reserve Covenant: Borrowers handling chilled or fresh goods must maintain a unencumbered cash or committed liquidity reserve equal to 3.5% of annualized gross sales.

7.14.5 Seasonality Adjustments & Peak Sizing Rules 1. Testing Window: Cash flow stress testing must utilize 12 monthly periods rather than annual averages to capture intra-year volatility. 2. Procurement Window Overlay: For seasonal agricultural processors (e.g., fruit/vegetable harvest), peak working capital facility drawdowns up to 120% of the baseline credit limit are permitted between August 1 and November 30, subject to: * Proof of locked-in forward raw material purchase contracts. * A seasonal DSCR buffer of 1.50x during the four peak procurement months. 3. Off-Peak Amortization: Working capital clean-downs or principal reduction equal to at least 15% of the peak line drawdown must occur within 60 days following the conclusion of the seasonal harvest window (by January 31).

7.14.6 Key Primary Drivers of Sector Distress Underwriters must explicitly evaluate and document mitigation strategies for the two primary historical drivers of default in this sector:

1. Input Commodity Price Spikes & Pass-Through Failure: Inability to pass raw agricultural input price increases to institutional buyers or retailers due to fixed-price supply agreements (typically exceeding 90 days).
2. Cold-Chain / Quality Failure & Inventory Spoilage: Loss of inventory value and subsequent contract cancellation caused by refrigeration breakdown, contamination events, or regulatory recall (e.g., FDA/FSSAI enforcement actions).

7.14.7 Acceptable Collateral & Haircut Schedule Facilities must be secured with collateral meeting the following maximum Loan-to-Value (LTV) limits:

1. Real Estate (Processing Plants & Automated Warehouses): Freehold commercial property directly owned by the borrower or guarantors. Maximum LTV: 60%.
2. Specialized Plant & Machinery: High-value processing machinery (e.g., continuous retorts, flash freezers, automated filling lines) less than 7 years old. Maximum LTV: 45%.
3. Finished Goods Inventory (Non-Perishable): Dry or shelf-stable ambient inventory stored in accredited third-party warehouses with direct pledge access. Maximum LTV: 35%.
4. Ineligible Collateral Types: The following asset classes are strictly prohibited from inclusion in the collateral base:
* Raw agricultural commodities subject to spoiling within 30 days.
* Work-In-Progress (WIP) inventories.
* Inventory with less than 90 days of remaining shelf-life prior to expiration.
* Receivables overdue by more than 60 days from invoice date.

7.14.8 Delegated Approval Authority & Exceptions 1. Standard Approvals: Underwriters may approve facilities meeting all Section 7.14 thresholds up to USD 1,000,000 with Level 2 Credit Authority (Senior Credit Risk Manager). 2. Mandatory CREC Escalation: Facilities exceeding USD 1,000,000 or requesting exceptions to the 1.35x DSCR floor, the 8.5% book cap, or the 105-day baseline NWCC cannot be approved under delegated authority and must be submitted to the Credit Risk Executive Committee chaired by Chief Credit Officer Devendra Vance. No exceptions are permitted for the ineligible collateral criteria defined in 7.14.7.4.